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[21UGE1101]

THIRD SEMESTER B.Tech EXAMINATION, DECEMBER -2023

FINANCE FOR NON FINANCE PROFESSIONALS

Time: 3 Hours Maximum **Marks: 100**

Instructions: i. Missing data may be suitably assumed.

ANSWER ALL QUESTIONS

		PART-A **5 X 2=10**			
1.	**a.**	Explain the cost concept with illustrations.	2	CO1	**02**
	b.	State the main components of total expenses as per Statement of Profit and Loss.	2	CO2	**02**
	c.	List down the various techniques of Financial Statement Analysis.	2	CO3	**02**
	d.	Discuss the term financial management.	2	CO4	**02**
	e.	Explain the importance of the time value of money.	2	CO4	**02**
		PART-B		**6 X 5=30**	
2.	**a.**	"Accounting is often called as the language of business". Elucidate	3	CO1	**05**
		OR			
	b.	Explain the objectives of accounting.	2	CO1	**05**
3.	**a.**	The following is the financial data extracted from the ledger balances of AN Cement Ltd. for the financial year 31st March 2023.	3	CO2	**05**

Particulars	**Rs. (in lacs)**
Other Income	385
Employee Benefit Expenses	780
Purchase of Stock-In-Trade	525
Sales Revenue	6750
Finance Cost	128
Change in Inventories of Finished Goods	-220
Depreciation and Amortization Expenses	180
Cost of material consumed	1185
Other Expenses	376
Tax @ 30%	

Prepare Statement of Profit and Loss for the year ended 31st March 2023.

OR

	b.	Explain the significance of preparing a Profit and Loss Statement and Balance Sheet.	2	CO2	**05**
4.	**a.**	'Comparative profit and loss account helps to compare the profitability of the business over a period of time'. Explain	3	CO3	**05**
		OR			
	b.	Enumerate the advantages of financial statement analysis.	3	CO3	**05**
5.	**a.**	Demonstrate the role of a Chief Financial Officer (CFO) in an organization.	3	CO4	**05**
		OR			
	b.	Examine the strengths and weaknesses of the payback period as capital budgeting technique.	4	CO4	**05**
6.	**a.**	Appraise the concept of mutually exclusive projects in capital budgeting.	5	CO5	**05**
		OR			
	b.	A project that requires a cash outlay of Rs. 20,000 and generates cash inflows of Rs. 4,000, Rs. 8,000, Rs. 6,000 and Rs. 4,000 in the first, second, third and fourth years respectively. Determine the pay-back period.	3	CO5	**05**
7.	**a.**	NMC Ltd. provides the following summary of the Statement of Profit and Loss for the two years, namely, March 31, 2022, and March 31, 2023:			

Particulars	**31/03/2022 (Rs.)**	**31/30/2023 (Rs.)**
Sales	750000	850000
Cost of Goods Sold	350000	375000
Employee Benefit Expenses	35000	40000
Depreciation & Amortization	25000	27500
Finance Cost	15000	17000

Required: Prepare common-size Statement of Profit and Loss for two years and summarize the performance of the company.

		OR			
	b.	'Trend analysis is done to analyze the percentage changes over time in a Balance Sheet'. Explain with suitable illustration.	3	CO3	**05**
		PART-C		**6 X 10=60**	
8.	**a.**	'Financial Statements serve both internal and external parties' – Discuss with suitable illustrations.	2	CO1	**10**
		OR			
	b.	Explain any five basic accounting terminologies with suitable examples.	3	CO1	**10**

9. **a.** GG Fertilizers provide you the following trial balance as on 31st march 2023.

Particulars	Debit (in Rs.)	Credit (in Rs.)
Share Capital		700000
Property, Plant and Equipment	1040000	
Employee Benefit Expenses	200000	
Sales Revenue		1460000
Cost of material consumed	760000	
Share Application Money Pending Allotment		50000
Creditors		60000
Goodwill	90000	
Debtors	200000	
Long Term Borrowings		60000
Reserves and Surplus		50000
Other Income		40000
Other Expenses	20000	
Cash	100000	
Finance Cost	10000	
Total	**2420000**	**2420000**

Additional Information: Corporate Tax @ 30%

Required:

(a) Prepare a Statement of Profit and Loss for the year ended 31st March 2023.

(b) Prepare Balance Sheet as on 31st March 2023.

OR

	b.	Explain Non-Current Liability and Non-Current Assets with its elements as per Balance Sheet.	4	CO2	**10**
10.	**a.**	Accounting is essential for business. Elucidate with examples.	3	CO1	**10**
		OR			
	b.	Madura Coats Limited provides the following summary of Statement of Profit and Loss for the previous two years' namely 31st March 2022 & 31st March 2023	3	CO3	**10**

Particulars	31st March 2022 (Rs.)	31st March 2023 (Rs.)
Sales	10,00,000	14,00,000
Cost of Goods sold	5,00,000	6,50,000
Employee benefit expenses	1,90,000	2,10,000
Operating expenses	45,000	50,000
Depreciation & Amortization	60,000	65,000
Marketing expenses	40,000	60,000
Finance cost	20,000	40,000

Required: (a) Prepare Trend Analysis for P& L Statement.

11.	**a.**	"Maximization of Profit is regarded as the proper objective of investments but it is not as exclusive as maximizing shareholder's wealth" - Examine.	4	CO4	**10**
		OR			
	b.	Explain the importance of financial management in business organizations.	2	CO4	**10**
12.	**a.**	The initial cash outlay of a project is Rs. 1,00,000 and it generates cash inflows of Rs. 40,000, Rs. 30,000 Rs. 50,000 and Rs. 20,000 in four years. Appraise profitability of the proposed investment assuming 10% rate of discount by using Net present value and Profitability index methods.	5	CO5	**10**
		OR			
	b.	Examine the capital budgeting process, and how does it contribute to long-term financial planning within an organization?	4	CO5	**10**
13.	**a.**	Tools for financial statement analysis helps traders to analyze the company's financial health and underlying value. Substantiate with suitable illustrations.	4	CO3	**10**
		OR			
	b.	Calculate the Simple interest and Compound interest for the data given below and compare the results to appreciate the power of compounding. Given: P =25000, n=5 years and 10 years, r= 15%	3	CO4	**10**